S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276582; SPCIQ KEY: 877906; TCUID: 53221)

Additional Disclosure

Year: Methodology Year: 2020
Question: Material Issues for Enterprise Value Creation
Include Modeled Scores : Yes

Material Issues for Enterprise Value Creation

Question

Does the company report the three most important material issues (economic, environmental, or social) that have the greatest impact on its business and how these issues impact the business and serve as significant determinants of long-term value creation?

Rationale

Leading companies are increasingly focusing on the most material topics that drive their long-term value creation. These issues can cover economic, environmental and social issues, and they are key drivers for a company's long-term business performance. The first question of this criteria assesses whether companies have conducted a materiality analysis of the most important issues driving long-term value creation and whether they are able to convincingly link these issues to their business performance.

Companies are asked to make a business case and therefore should focus on those economic, environmental, or social issues that are most important or impactful for the business performance of the company. Companies should indicate which of the three value drivers are impacted by these issues (revenues, costs, or risk), and what strategies, products or initiatives the company has that are linked to these issues. In order to ensure that the company is managing its performance in relation to these issues over the long-term, the question asks which long-term targets/metrics that company uses to measure its performance over time and whether the company has linked its executive compensation to these issues.

Performance Summary	
Question Level Company Performance	50
Question Weight	70
Year-on-Year Change	25
Industry Average Score	27
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Material Issue: A material issue is a sustainability factor that can have a present or future impact on the company's value drivers, competitive position, and therefore on long-term shareholder value creation.

Materiality Assessment: A materiality assessment is an approach to identify critical economic, environmental and social issues which have a significant impact on the company's business performance.

Materiality Assessment Frequency: We expect companies to conduct a materiality assessment at least every 5 years and to report the results in at least one of the two most recent Annual or Sustainability reports.

Data Requirements

1. Material Issue

Our expectations:

- Companies have conducted a materiality analysis and identified the most important issues driving long-term performance.
- Companies clearly define the three most material economic, environmental or social issues driving long-term value creation.

Not acceptable:

- Purely financial metrics/issues (net profit, cash flow, earnings per share, product sales).
- Operational business metrics/issues (e.g. market expansion, efficient use of capital, operational excellence).
- General issues without a description of the specific sub-issues that might impact the company's performance (e.g. macroeconomic conditions, long-term shareholder value).

Please note that companies that do not provide an acceptable material issue do not receive points for any of the sub-questions related to that material issue.

2. Business Case

Our expectations:

- The business case should contain the following information:
- A clear link between the material issue and the business case.
- Clear explanation of why the issue is material to the company's performance in terms of cost/revenue/risk (e.g. cost savings, revenue generation, operational risks with direct impact on financial performance).

Not acceptable:

- The business case is not linked to the material issue.
- The Business case does not link the material issue to the company's performance in terms of costs, revenues or risks.
- The business case is describing the material issue and its importance for society / the environment but does not provide information on why the issue is relevant to the company's performance (e.g. impact of global warming on society).

3. Business Strategies

Our expectations:

- The company provides a clear explanation of the strategies, initiatives, or products or services through which it addresses the material issue.

Not acceptable:

- Strategies, initiatives, or products or services that do not directly address the material issue.
- Strategies that are not clearly described (e.g. human resources-oriented management).
- Description of the current situation without providing the strategies or products to address this situation.
- Provision of a target instead of a strategy, initiative or product (e.g. zero fatalities or injuries).

4. Long-term Metric

Target Year

Our expectations:

- The metric or long-term target is linked to the material issue.
- The metric or long-term target and *how* it is being used are clearly described.
- The time horizon of the long-term target should be at least three years.

Indicating the current reporting year as target year is acceptable if:

- If the company's long-term target is by necessity, ongoing, (such as zero fatalities) please indicate the current year as target year and explain in the company comment section.
- The current reporting year (e.g. 2017) corresponds to the long-term target's finishing year.

Not acceptable:

- Targets/metrics are not linked to the material issue.
- Vague targets or targets whose progress cannot be measured (e.g. ensure a good working environment, reduce workplace accidents).
- Targets are short-term (less than 3 years).

5. Executive Compensation

Our expectations:

- The metric or target used for determining executive compensation is clearly defined and linked to the material issue.
- The executive compensation is linked to the performance on the material issue, metric or target (e.g. as part of an executive scorecard).
- There is a clear indication that the performance on the provided material issue, target or metric is linked to the compensation of the executive management, not only of the respective line managers.

Not acceptable:

- The executive compensation is linked to the company's general CSR policy or the company's environmental performance.
- The metric/target is used for determining management performance but there is no explanation of how performance is linked to executive compensation.
- The metric/target indirectly contributes to the company's general financial performance metrics (e.g. executive compensation is linked to EBIT, as improved operational eco-efficiency reduces operational costs and therefore increases EBIT).

For additional information, please our webcast on this topic.

References

GRI Standards 102-47, 103-1 & 102-15 are relevant for this question.

Data View

No information was found in the public domain.

Questionnaire

Has your company conducted a materiality analysis to identify the most important material issues (economic, environmental, or social) for your company's performance? Please provide the three most material issues that have the greatest impact on your business and the generation of long-term value. Please indicate how these issues impact your business and serve as sources of long-term value creation for your company.

1. ◯ Yes, our company has conducted a materiality analysis to identify key issues for long-term value creation.

	Material Issue 1	Material Issue 2	Material Issue 3
Material Issue			
Please specify your material issue:	Please select the category your material issue belongs to: Please select	Please select the category your material issue belongs to: Please select	Please select the category your material issue belongs to: Please select
Business Case			
Please provide a brief rationale for why this issue is material to your business:			
Business Impact			
Please select the type of impact this material issue has on your business (cost/revenue/risk):	Please select	Please select	Please select

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Business strategies

Please specify your primary business strategies, initiatives or products that address this issue:

Long-Term Target/Metric

Do you have a long-term target or metric to measure your progress on this issue in a systematic way? Please specify this target or metric if available:

Target Year

Please specify the year for the long-term target

Executive Compensation

Is this metric or target used to determine the compensation of executive committee member(s)? If yes, please specify how this metric is used and provide a relevant reference showing how these metrics are applied to executive compensation.

2. ○

No, we have not defined any material issues for our company.

3. ○

Not applicable. Please provide explanations in the comment box below.

4. ○

Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.